What is a Leave and License Agreement?

A Leave and License Agreement is a legal document under which the owner of an immovable property (the Licensor) grants temporary permission to another person (the Licensee) to use and occupy the property for a specific period without transferring any interest or possession in the property. It is commonly used for residential or commercial premises for short durations, usually up to 11 months. Unlike a lease, it does not create any tenancy rights or transferable interest in favour of the Licensee. All important terms, conditions, and obligations between the parties must be clearly recorded in the agreement.

Why is a Leave and License Agreement required?

A Leave and License Agreement serves as formal evidence of the permission granted by the owner to the occupant. It records the duration of use, the license fee payable, the purpose for which the premises may be used, and the respective duties of both parties. This document acts as a reference point for both sides and helps protect their interests. In the event of any dispute, the agreement provides clear written proof of the terms on which the permission was granted. An accurately drafted agreement reduces the chances of misunderstanding and strengthens the position of both parties if legal action becomes necessary.

What should a Leave and License Agreement cover?

1. Full name, age, residential address and identity details of both the Licensor and the Licensee,
2. Complete description and address of the licensed premises along with its boundaries,
3. Details of the monthly license fee, payment due date and mode of payment,
4. Amount of security deposit, conditions for its refund and permissible deductions,
5. Duration of the license and whether any lock-in period applies,
6. Purpose for which the premises may be used (residential or commercial),
7. Responsibility for payment of electricity, water, maintenance and other charges,
8. Rights of the Licensor to enter and inspect the premises,
9. Conditions for termination, notice period and consequences of early termination,
10. Restrictions on sub-licensing, assignment or parting with possession,
11. Penalty or consequences in case of default by either party,
12. General clauses such as governing law, dispute resolution, indemnity and date of execution.

Format for Leave and License Agreement

[Format section not provided — sample format can be added separately if required]